GradientCIO

INVESTMENT COMMITTEE MEMO

Rebalance: Gradient Global Growth III

Example Foundation · Prepared for the Investment Committee · Meeting 2026-10-15

MEMO TYPE
Rebalance

MEETING DATE
2026-10-15

DATA AS OF
2026-09-30

BASE CURRENCY
USD

ASSUMPTION SET
ICAPM Q3 2026

STATUS
Draft

IPS STATUS
2 breaches · 1 watch · 3 not assessed

01 Recommendation and Decision Requested

IPS STATUS

2 breaches · 1 watch · 3 not assessed

RECOMMENDATION

Reduce public equity by 400 bps to 48.0% and add 400 bps to cash (200 bps) and fixed income (200 bps) to cure two IPS band breaches S1. The Committee is asked to approve the rebalance in Section 13.1, executed over 30 days.

TRAILING 1Y VS BENCHMARK	IPS BREACHES	EXPECTED RETURN VS OBJECTIVE	T1 LIQUIDITY
+49 bps	2	−28 bps	44.6%
6.9% net return S2	1 additional Watch S1	6.7% vs 7.0% S3	15.0% minimum S1

ILLUSTRATIVE DATA — Figures marked [S#] use the scope "Illustrative, Gradient Maintained — demo data, not the client's holdings or managers."

Reduce public equity by 400 bps and fund fixed income and cash.

Decision requested: approve the 30-day rebalance S1

FIELD	VALUE
Memo type	Rebalance
Portfolio	Gradient Global Growth III (example-portfolio-id; Illustrative, Gradient Maintained — demo data, not the client's holdings or managers)
Organization	Example Foundation
Prepared for	Investment Committee
Meeting date	2026-10-15
Data as of	2026-09-30
Assumption set	Gradient ICAPM Global Baseline, Q3 2026 (USD) — CMA release Q3-2026-policy-v2.1 (2026-09-11)
Base currency	USD
Status	DRAFT — for committee review
Data quality	Illustrative

Recommendation: Reduce public equity by 400 bps to 48.0% and add 400 bps to cash (200 bps) and fixed income (200 bps) to cure two IPS band breaches.

Decision requested: The Committee is asked to approve the rebalance in Section 13.1, executed over 30 days.

Rationale (three points, most important first):

1. Fixed income (19.0%) and cash (1.0%) are below their IPS minimums S1.
2. Cash at 1.0% leaves no operating buffer for 12-month calls of USD 180.0m S1 S9.
3. The change lowers expected volatility by 60 bps with a 15 bps reduction in expected return S3.

Key risks (three points, most material first):

1. Risk-limit compliance is not assessed because the persisted thresholds do not specify a governed observation horizon and return basis S1.
2. Expected return remains 28 bps below the CPI + 4.5% objective S1 S3.
3. Gradient's real estate assumption is 499 bps above consensus S4.

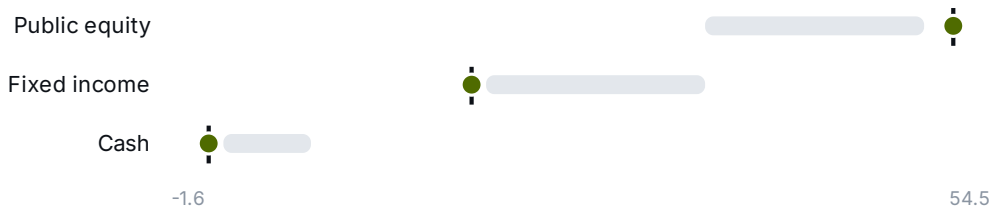
Conditions to approval:

1. Confirm the inflation assumption used for the real return objective (Section 15, item 1).

02 Executive Summary

- **Positioning:** Public equity is 700 bps overweight and fixed income 600 bps underweight versus policy S1.
- **IPS:** 6 constraints Compliant, 1 Watch, 2 Breach, 3 Not assessed. Breaches: fixed income band and cash band.
- **Performance:** 1Y return 6.9% versus 6.4% for the policy benchmark (+49 bps). Governed attribution is unavailable for the selected period S2.
- **Outlook:** Expected return 6.7% versus a 7.0% objective, volatility 13.1%, 44.0% probability of meeting the objective S3.
- **Liquidity & diligence:** Stress coverage 2.61 on the liquidity model; zero High diligence findings S1 S5 S9.

DECISION RANGES (TEST)



Key judgment — Policy drives the decision

Observation: Two allocation bands are in Breach S1. Why it matters: The proposed rebalance cures both. Uncertainty: Risk-limit observations remain unavailable. What would change the view: Aligned risk evidence that changes implementation capacity.

Key judgment — Liquidity supports implementation

Observation: T1 liquidity is 44.6% versus a 15.0% minimum S1. Why it matters: It provides implementation capacity. Uncertainty: Private valuations lag. What would change the view: An updated liquidity schedule that reduces the cushion.

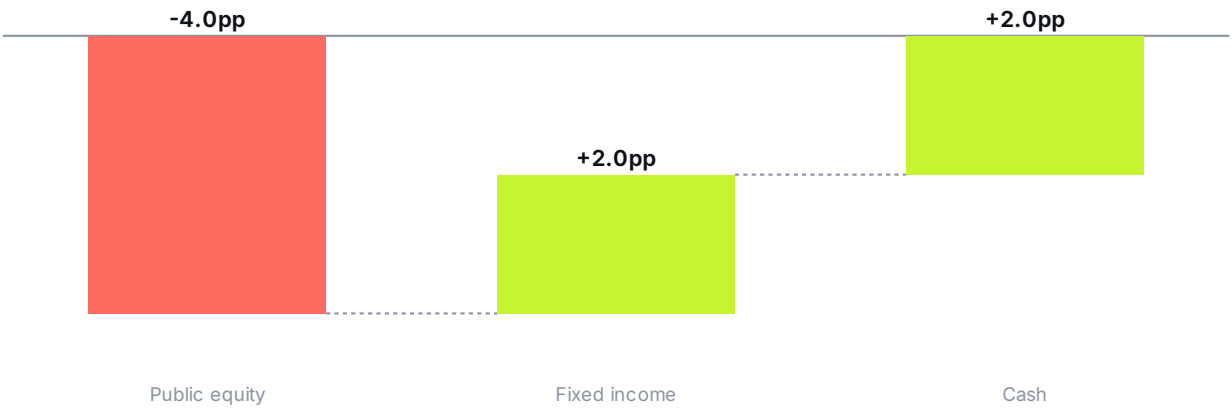
Key judgment — Return tradeoff is modest

Observation: The proposed case lowers return 15 bps and volatility 60 bps S3. Why it matters: The tradeoff accompanies breach correction. Uncertainty: These are assumptions. What would change the view: A refreshed CMA with materially different estimates.

03 Portfolio Snapshot

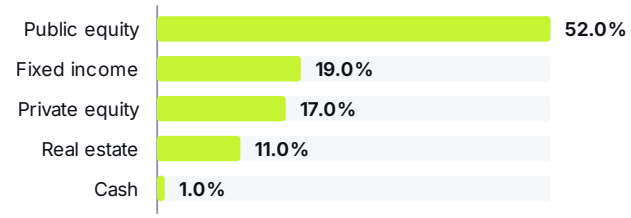
ITEM	VALUE	SOURCE
Total NAV	USD 3375.0m	S1
Unfunded commitments	USD 420.0m	S1
Number of holdings / commitments	56	S1
Number of managers	18	S1
Valuation date(s)	2026-09-30; private funds 2026-06-30 (one quarter lag)	S1

PROPOSED ALLOCATION CHANGES (PERCENTAGE POINTS)



ASSET CLASS	CURRENT WEIGHT	POLICY TARGET	RANGE (MIN–MAX)	ACTIVE (BPS)	STATUS
public_equity	52.0%	45.0%	35.0%–55.0%	+700 bps	Compliant
fixed_income	19.0%	25.0%	20.0%–30.0%	−600 bps	Breach
private_equity	17.0%	15.0%	10.0%–20.0%	+200 bps	Compliant
real_estate	11.0%	10.0%	5.0%–12.0%	+100 bps	Compliant
cash	1.0%	5.0%	2.0%–8.0%	−400 bps	Breach
Total	100.0%	100.0%			

CURRENT WEIGHT BY ASSET CLASS



ACTIVE WEIGHT VS POLICY (BPS)



Analysis — Two sleeves need correction

Observation: Fixed income and cash are below policy minimums S1. Why it matters: The breaches drive trade sizing. Uncertainty: Valuations can move weights. What would change the view: Updated valuations that restore compliance.

04 IPS Compliance

#	CONSTRAINT	IPS REQUIREMENT	CURRENT	STATUS	SOURCE
1	Allocation — public_equity	35.0%–55.0%	52.0%	Compliant	IPS §4.1
2	Allocation — fixed_income	20.0%–30.0%	19.0%	Breach	IPS §4.1
3	Allocation — private_equity	10.0%–20.0%	17.0%	Compliant	IPS §4.1
4	Allocation — real_estate	5.0%–12.0%	11.0%	Compliant	IPS §4.1
5	Allocation — cash	2.0%–8.0%	1.0%	Breach	IPS §4.1
6	Return objective	CPI + 4.5%	6.7%	Watch	IPS §3.1
7	Expected volatility	≤ 14.0%	Not available — observation basis unaligned	Not Assessed	IPS §3.2
8	Expected max drawdown	≤ 35.0%	Not available — observation basis unaligned	Not Assessed	IPS §3.2
9	T1 liquidity (% NAV)	≥ 15.0%	21.0%	Compliant	IPS §5.1
10	Liquidity coverage ratio	≥ 1.50	2.61	Compliant	IPS §5.3
11	Largest single manager (% NAV)	≤ 10.0%	8.5%	Compliant	IPS §6.1
12	No direct tobacco holdings	prohibited	n/a	Not Assessed	IPS §7.1

POLICY CONSTRAINT STATUS

Allocation	Breach	Two breached bands S1
Return	Watch	Objective gap S1
Risk	Not Assessed	Observation basis unavailable S1
Liquidity	Compliant	Minimum met S1
Concentration	Compliant	Manager cap met S1

POLICY STATUS MATRIX (TEST)

CONSTRAINT	STATUS SCORE
ALLOCATION	-1.0
LIQUIDITY	1.0
CONCENTRATION	1.0
RISK EVIDENCE	0.0

Summary: 6 Compliant, 1 Watch, 2 Breach, 3 Not assessed. **Breaches and required actions:** Fixed income and cash bands — cured by the Section 13 rebalance.

CONCENTRATION VS LIMIT



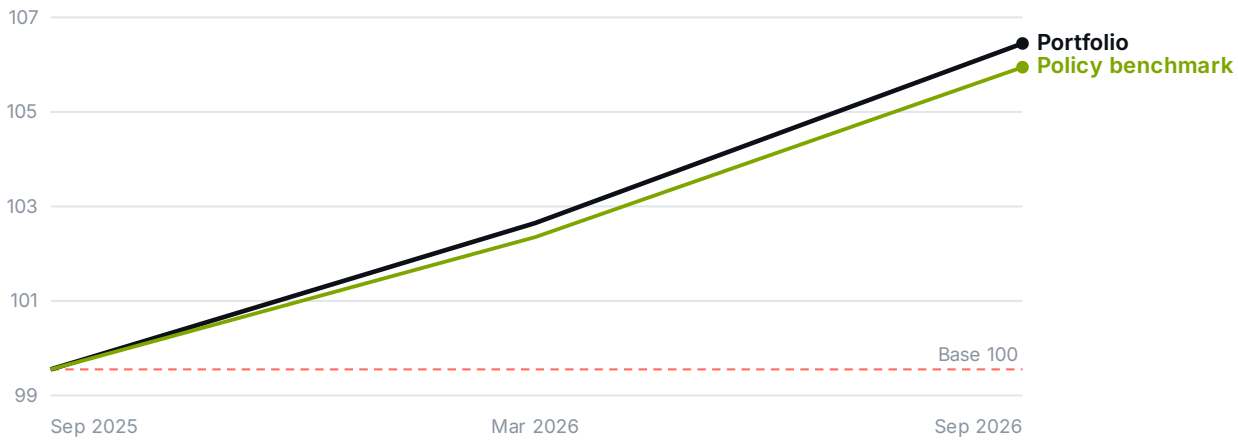
Analysis — Compliance evidence is mixed

Observation: Allocation has two Breaches while risk is Not assessed S1. Why it matters: Allocation can be addressed now. Uncertainty: Risk evidence is incomplete. What would change the view: Aligned risk observations that alter the policy conclusion.

05 Performance & Attribution

5.1 Returns

GROWTH OF 100



PERIOD	PORTFOLIO	POLICY BENCHMARK	EXCESS (BPS)	BASIS
QTD	1.8%	1.6%	+20 bps	Net
YTD	5.2%	4.9%	+30 bps	Net
1Y	6.9%	6.4%	+49 bps	Net
3Y ann.	7.4%	7.1%	+30 bps	Net
5Y ann.	n/a	n/a	n/a	Net
Since inception ann.	7.0%	6.8%	+20 bps	Net

5.2 Attribution — 1Y

Not available — `get_portfolio_attribution` returned `coverage.status: unavailable` with `no_weight_cohorts`; no local attribution was derived S2.

5.3 Top contributors and detractors

RANK	CONTRIBUTORS	CONTRIBUTION (BPS)	DETRACTORS	CONTRIBUTION (BPS)
1	Manager A (public equity)	+31 bps	Manager F (buyout)	−14 bps
2	Manager B (public equity)	+12 bps	Manager G (core bonds)	−6 bps

CALENDAR-YEAR RETURNS



1Y attribution — total effect by asset class (bps)

Not available — the governed attribution result returned no weight cohorts S2

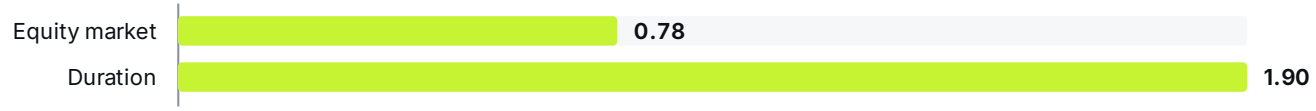
Analysis — Relative return stayed positive

Observation: The portfolio exceeded policy by 49 bps over one year S2. Why it matters: It supplies context, not causation. Uncertainty: Attribution is unavailable. What would change the view: A reconciled effect decomposition.

06 Factor Exposures & Concentration

6.1 Factor exposures

FACTOR AND CURRENCY EXPOSURE (TEST)



FACTOR	EXPOSURE	BENCHMARK EXPOSURE	ACTIVE	UNITS	SOURCE
Equity market	0.78	0.70	0.08	beta	S6
Duration	1.90	2.40	−0.50	years	S6

6.2 Concentration and diversification

METRIC	VALUE	IPS LIMIT	STATUS	SOURCE
Largest single manager (% NAV)	8.5%	10.0%	Compliant	S1
Top 5 managers (% NAV)	34.0%	n/a	Not Assessed	S1
Largest single holding look-through (% NAV)	n/a	n/a	Not Assessed	Not available — no look-through data
Effective number of positions	14.20	n/a	N/A	S6
Diversification ratio	1.32	n/a	N/A	S6
Equity beta to global equities	0.78	n/a	Not Assessed	S6

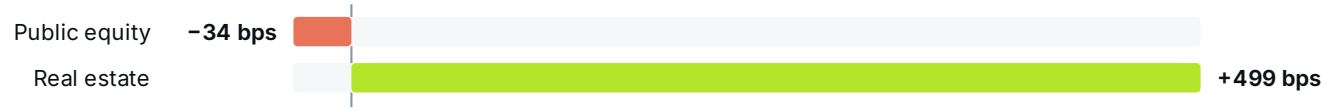
Analysis — Concentration remains within limit

Observation: The largest manager is 8.5% versus a 10.0% limit S1. Why it matters: The returned measure is compliant. Uncertainty: Look-through holdings are incomplete. What would change the view: Completed holdings showing higher concentration.

07 Expected Return & Risk

Assumptions: Gradient ICAPM Global Baseline Q3 2026, CMA release Q3-2026-policy-v2.1, 10-year horizon, USD, unhedged.

GRADIENT VS CONSENSUS GAP (BPS)



Example consultant CMA survey, 2025-12-31 S4

7.1 Portfolio expected statistics

METRIC	CURRENT	PROPOSED	POLICY PORTFOLIO	IPS OBJECTIVE / LIMIT	STATUS
Expected return (nominal, ann.)	6.7%	6.6%	6.5%	7.0%	Watch
Expected excess return over cash	2.9%	2.8%	2.7%	n/a	N/A
Expected volatility (ann.)	13.1%	12.5%	12.0%	14.0%	Watch
Sharpe ratio	0.22	0.22	0.23	n/a	N/A
Expected max drawdown	38.0%	36.5%	35.0%	35.0%	Breach
95% CVaR (1-year)	21.0%	20.0%	19.5%	n/a	Not Assessed
Probability of meeting return objective	44.0%	42.0%	40.0%	n/a	N/A

7.2 Consensus check

ASSET CLASS	GRADIENT EXPECTED EXCESS	CONSENSUS REFERENCE	GAP (BPS)	COMPARABILITY	SOURCE
public_equity	4.7%	5.1%	−34 bps	proxy	S4
real_estate	7.6%	2.6%	+499 bps	direct	S4

Allocation-implied return: Gradient 8.2% vs consensus 6.7% (Example consultant CMA survey, 2025-12-31) S4. **Assumption quality:** quality receipt unvalidated; repeated higher moments flagged for two equity factors S4.

7.3 Regime overlay

Current regime: GRIP 76 (Defensive), as of 2026-10-01, coverage 0.95, degraded (one lagging input) S7. **Effect on expectations:** Regime adjustment not available — baseline shown.

GRIP
76
Defensive S7

POLICY EXPECTED RETURN
6.5%
Baseline S3

RETURN OBJECTIVE
7.0%
IPS S1

Analysis — Assumption gap needs review
Observation: Real estate is 499 bps above consensus S4. Why it matters: The gap affects the forward case. Uncertainty: Dates and model bases differ. What would change the view: Aligned assumptions that narrow the gap.

08 Stress Tests & Scenarios

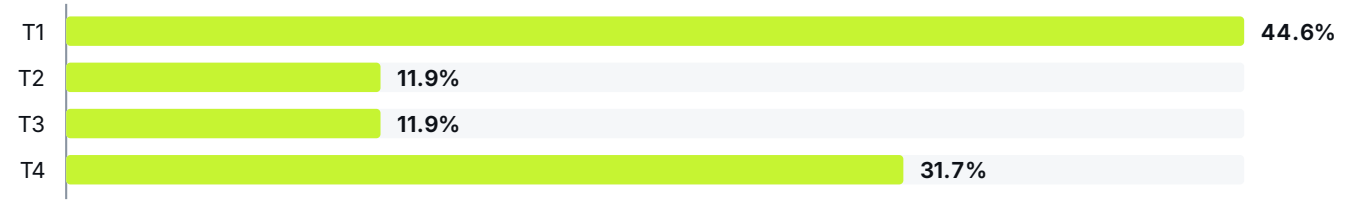
SCENARIO	TYPE	PORTFOLIO IMPACT	POLICY IMPACT	LIQUIDITY COVERAGE AFTER	SOURCE
2008 global financial crisis	Historical	−24.0%	−21.0%	2.61	S8
5th percentile, 1 year	Simulated percentile	−14.0%	−12.5%	3.80	S8

Robustness: Results are stable across start dates within ±80 bps of expected return S8.

09 Liquidity

9.1 Liquidity tiers

LIQUIDITY TIERS (% NAV)



LIQUIDITY TIER MIX (TEST)



TIER	DEFINITION	% NAV	AMOUNT (USD M)	SOURCE
T1	Daily to weekly	44.6%	1505.0	S1
T2	Monthly to quarterly	11.9%	400.0	S1
T3	Semi-annual to 2 years	11.9%	400.0	S1
T4	Over 2 years / locked / private	31.7%	1070.0	S1
Total		100.0%	3375.0	

9.2 Coverage

METRIC	BASE CASE	STRESS CASE	IPS MINIMUM	STATUS	SOURCE
T1 liquidity (% NAV)	44.6%	42.4%	15.0%	Compliant	S1 S11
Unfunded commitments (USD m)	420.0	420.0	n/a	N/A	S1
12-month spending / distributions (USD m)	150.0	150.0	n/a	N/A	S1
Liquidity coverage ratio	5.77	2.61	1.50	Compliant	S1 S11
Private markets % NAV (incl. unfunded)	36.1%	36.1%	40.0%	Watch	S1

- HF B placed in T4 (gated).

Pacing: Projected 12-month calls USD 180.0m against distributions of USD 95.0m S9.

COMMITMENTS LIQUIDITY SCORECARD (TEST)

METRIC	VALUE
Stress coverage	2.61

COMMITMENT PACING (TEST)

PERIOD	CALLS
Next 12 months	180,000,000

COMMITMENT CASH FLOW (TEST)

PERIOD	DISTRIBUTIONS
Next 12 months	95,000,000

Analysis — Liquidity clears the minimum

Observation: Stress coverage is 2.61 versus a 1.50 minimum S1 S11. Why it matters: It supports implementation. Uncertainty: Calls are projected. What would change the view: An updated commitment schedule that reduces coverage.

10 Manager & Operational Diligence

MANAGER	STRATEGY	EXPOSURE (% NAV)	ODD RED FLAGS	OPEN FINDINGS (H/M/L)	MONITOR ALERTS	GIPS STATUS	LAST REVIEW	SOURCE
Manager A	Global equity	8.5%	0	0/1/0	0	Claims, verified	2026-06-30	S5
Other (17 managers)	Various	91.5%	n/a	0/2/3	0	N/A	n/a	S5

MEDIUM **Verification follow-up**

Manager A verification report remains open at 8.5% exposure S5.

Exposure-weighted findings: No active High findings S5. **Attention queue:** None overdue S5.

Analysis — No high findings returned

Observation: No active High findings were returned S5. Why it matters: Immediate operational concern is lower. Uncertainty: Verification remains open. What would change the view: New findings or completed verification evidence.

11 Performance Integrity & GIPS

11.1 Total fund

Not assessed — no GIPS Asset Owner Report provided.

11.2 Manager A

Overall assessment: Satisfactory with follow-ups. Verification report for the latest year not yet received.

12 Market Context

- **Regime:** GRIP 76, Defensive; rates and cross-asset pillars are the main pressure S7.
- **Key indicators:** Core PCE index rose 0.3% over three months S10.
- **Current thesis:** Diesel margins carry the Gulf energy premium; confirm above USD 102/bbl crack S10.
- **Upcoming catalysts:** US CPI on 2026-10-14; FOMC on 2026-10-28 S10.

GRIP
76
2026-10-01 S7

CORE PCE
+0.3%
3 months S10

NEXT CPI
Oct 14
2026 S10

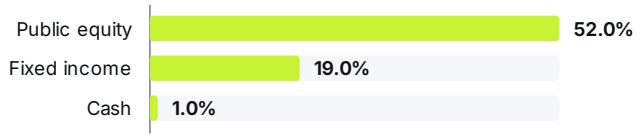
Analysis — Macro context is defensive

Observation: GRIP is 76 and Defensive S7. Why it matters: It informs pacing, not the breach decision. Uncertainty: One input is stale. What would change the view: A refreshed signal with a different regime.

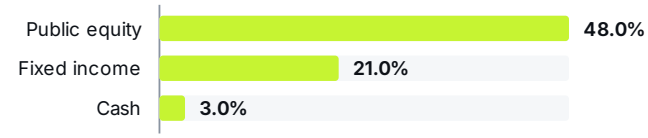
13 Proposed Changes & Impact

13.1 Allocation change

CURRENT WEIGHTS



PROPOSED WEIGHTS



ASSET CLASS / MANAGER	CURRENT	PROPOSED	CHANGE (BPS)	FUNDING SOURCE	IPS STATUS AFTER
public_equity	52.0%	48.0%	−400 bps	Index fund	Compliant
fixed_income	19.0%	21.0%	+200 bps	Public equity	Compliant
cash	1.0%	3.0%	+200 bps	Public equity	Compliant

13.2 Impact summary

MEASURE	CURRENT	PROPOSED	CHANGE	SOURCE
Expected return	6.7%	6.6%	−15 bps	S3
Expected volatility	13.1%	12.5%	−60 bps	S3
Sharpe ratio	0.22	0.22	0.00	S3
T1 liquidity (% NAV)	44.6%	46.6%	+200 bps	S11
Liquidity coverage ratio	2.61	2.70	0.09	S11
IPS breaches	2	0	−2	S11
Estimated transaction cost (bps)	n/a	3 bps	+3 bps	S11

Implementation: Sell the index fund in two tranches over 30 days; buy core bonds and Treasury bills S11.
Alternatives considered: No change — rejected because two band breaches and the coverage breach would remain. Full rebalance to policy — rejected because it would sell 700 bps of equity into a Defensive regime in one step.

> **Analysis — Proposal cures both breaches**
> Observation: Proposed weights reduce IPS breaches from two to zero S11. Why it matters: The change addresses the decision. Uncertainty: Costs and market movement remain unknown. What would change the view: An implementation estimate that materially changes sizing.

14 Risks & Mitigants

#	RISK	RATING	EVIDENCE	MITIGANT	OWNER
1	Risk-limit compliance not assessed	Medium	Persisted thresholds lack a governed observation horizon and return basis S1	Approve an observation basis before evaluating volatility, drawdown or CVaR compliance	CIO
2	Real estate CMA well above consensus	Medium	+499 bps gap S4	Run Section 7 with consensus real estate assumption before the next review	Analyst
3	Return objective shortfall	Low	−28 bps S3	Revisit spending policy at the annual review	Committee

HIGH
0
No High risks S1

MEDIUM
2
Basis and CMA S1 S4

LOW
1
Objective gap S3

15 Open Items & Conditions

#	ITEM	REASON	TIMING	OWNER
1	Confirm inflation assumption for real return objective	IPS does not state one	Before approval	CIO
2	Provide look-through holdings	Not available	Next review	Operations
3	Obtain Manager A verification report	GIPS follow-up	Within 30 days	Analyst
4	Provide GIPS Asset Owner Report	Not provided	Next review	Operations
5	Define the governed policy-risk observation horizon and return basis	Risk rows are not assessed without aligned observations	Next review	CIO

16 Approvals

ROLE	NAME	DECISION	DATE
Prepared by		N/A	
Reviewed by (CIO)			
Committee chair			

A Appendix — Sources

REF	SOURCE	PARAMETERS	AS OF	DATA SCOPE	VALIDATION	DIGEST
S1	get_portfolio_exposure; get_portfolio_structure; check_portfolio_policy	portfolio_id=example; governed policy and exposure views	2026-09-30	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	passed	n/a
S2	get_portfolio_historical_returns; get_portfolio_attribution	portfolio_id=example; policy benchmark; performance available; attribution unavailable (`no_weight_cohorts`)	2026-09-30	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	partial	n/a
S3	check_portfolio_policy; user document	return_objective; forward-analysis.pdf	2026-09-11	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	passed	n/a
S4	get_cma_consensus_check	mode=allocation	2026-06-30	Mixed — Illustrative, Gradient Maintained — demo data, not the client's holdings or managers + User-Authorized Live	passed	n/a
S5	get_manager_diligence_findings	view=exposure_weighted	2026-10-02	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	advisory	n/a
S6	get_chart_data	portfolio_id=example; analysis_type=allocations	2026-09-30	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	passed	n/a

REF	SOURCE	PARAMETERS	AS OF	DATA SCOPE	VALIDATION	DIGEST
S7	get_macro_signals	view=gradient_signal (sources.grip)	2026-10-01	User-Authorized Live	passed	n/a
S8	Illustrative scenario assumptions	2008 historical; 5th percentile	2026-09-30	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	not applicable	n/a
S9	get_chart_data	portfolio_id=example; analysis_type=commitments	2026-06-30	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	passed	n/a
S10	get_macro_conditions; get_the_read; get_macro_calendar	theme=inflation; am edition; 30 days	2026-10-02	User-Authorized Live	passed	n/a
S11	Server-returned illustrative proposed-case analysis	target weights and implementation estimate per Section 13.1	2026-09-30	Illustrative, Gradient Maintained — demo data, not the client's holdings or managers	passed	n/a

B Appendix — Server Metric Methods

SOURCE	QUANTITY	METHOD / FORMULA ID	VERSION	BASIS AND TOLERANCE
S1	IPS status, active weights, liquidity and concentration	check_portfolio_policy	2026-10-05.v1	Governed inputs only; preserve returned thresholds and coverage
S2	Realized returns and risk	get_portfolio_historical_returns	as returned	Preserve period labels, annualization, benchmark basis, units and coverage
S2	Realized attribution	Not available	n/a	`no_weight_cohorts`; no formula or result asserted
S6	Effective number of positions	Portfolio Analytics allocations metric	as returned	Preserve chart-pack basis and fingerprint
S11	Proposed-case impacts	Portfolio Analytics proposed-case analysis	as returned	Same basis as current case

C Appendix — Methodology & Disclosures

- Expected returns and risk are forward-looking assumptions from Gradient ICAPM Global Baseline Q3 2026, not forecasts or guarantees. Actual results will differ.
- Performance is shown net of manager fees. Periods over one year are annualized.
- Attribution is unavailable for this example because no governed segment-weight cohort was returned; no local fallback is used. Factor model: Portfolio Analytics factor/currency exposure.
- Private-markets valuations may lag by 3 months; values as of 2026-06-30.
- Data sources and retrieval dates are listed in Appendix A. Sections using illustrative data are marked; they do not describe the organization's holdings.
- GIPS assessments are diligence reviews against the 2020 GIPS standards, not verifications or legal opinions.
- This memo was prepared with AI assistance from structured data and reviewed by the preparer.